UNCONVENTIONAL POLICY

I want to focus on unconventional monetary policies (UMP), by which I mean both policies that hold interest rates at near zero for long, as well as balance sheet policies such as quantitative easing or exchange intervention that involve altering central bank balance sheets in order to affect certain market prices. The key point that I will emphasize throughout this talk is that quantitative easing and sustained exchange intervention are in an economic equivalence class, though the channels they work through may be somewhat different. Our attitudes towards them should be conditioned by the size of their spillover effects rather than by any innate legitimacy of either form of intervention.

Let me also add there is a role for unconventional policies – when markets are broken or grossly dysfunctional, central bankers do have to think innovatively. Fortunately for the world, much of what they did immediately after the fall of Lehman was exactly right, though they were making it up as they went in the face of extreme uncertainty. They eased access to liquidity through innovative programmes such as Term Asset-Backed Securities Loan Facility (TALF), Term Auction Facility (TAF), Troubled Asset Relief Programme (TARP), Securities Market Programme (SMP), and Long-Term Refinancing Operation (LTRO). By lending long term without asking too many questions of the collateral they received, by buying assets beyond usual limits, and by focusing on repairing markets, they restored liquidity to a world financial system that would otherwise have been insolvent based on prevailing market asset prices. In this matter, central bankers are deservedly heroes. (I was not a member of the fraternity at that time, so I do not feel a conflict in doling out praise!)

The key question is what happens when these policies are prolonged long beyond repairing markets – and there the benefits are